population from the worst effects of the crisis."[15] Not only did health spending increase; so did spending on social security and education. Even during the worst years of the crisis, these areas grew both in absolute terms and as proportion of GDP. In 1998, 32 percent of the GDP was spent on social services – still the highest in Latin America.[16] While the lack of hard currency meant that these peso expenditures couldn't resolve shortages of medicines, materials, and infrastructure, Miren Uriarte emphasized that the government's continuing commitment to its social welfare role distinguished Cuba's path from other experiments with structural adjustment. She noted three areas in particular: "commitment to equity in access by maintaining all services free of charge … commitment to universal access," and that "the government's role as the main actor in this sphere remained unchanged."[17] (See Figure 7.3.)

Figure 7.3 A *bodega* in Havana, 2009

Source: Photo by Arnold Weissberg

Image not available in this digital edition

Monreal, Uriarte and Feinsilver view the cautious nature and pace of reforms in a positive light. To other analysts, Cuba's failure to implement a "shock treatment" approach to economic reform meant that Castro was trying to sustain a "power reserve" for hardliners. "Behind the pretense of market reforms, the Cuban government ended up magnifying the power of the state to decide who can benefit from market activities and by how much," wrote political scientist Javier Corrales.[18]

While foreign investors have been invited into Cuba, the state maintains certain controls that go well beyond what companies face in other countries. For example, the state oversees the hiring of employees. Foreign companies pay their workers' wages in dollars directly to the government, which then transfers the money to the workers in pesos. The government argues that this system enables it to use the valuable foreign currency to sustain its social programs, rather than having it all go into the pockets of the few workers lucky enough to get those jobs.